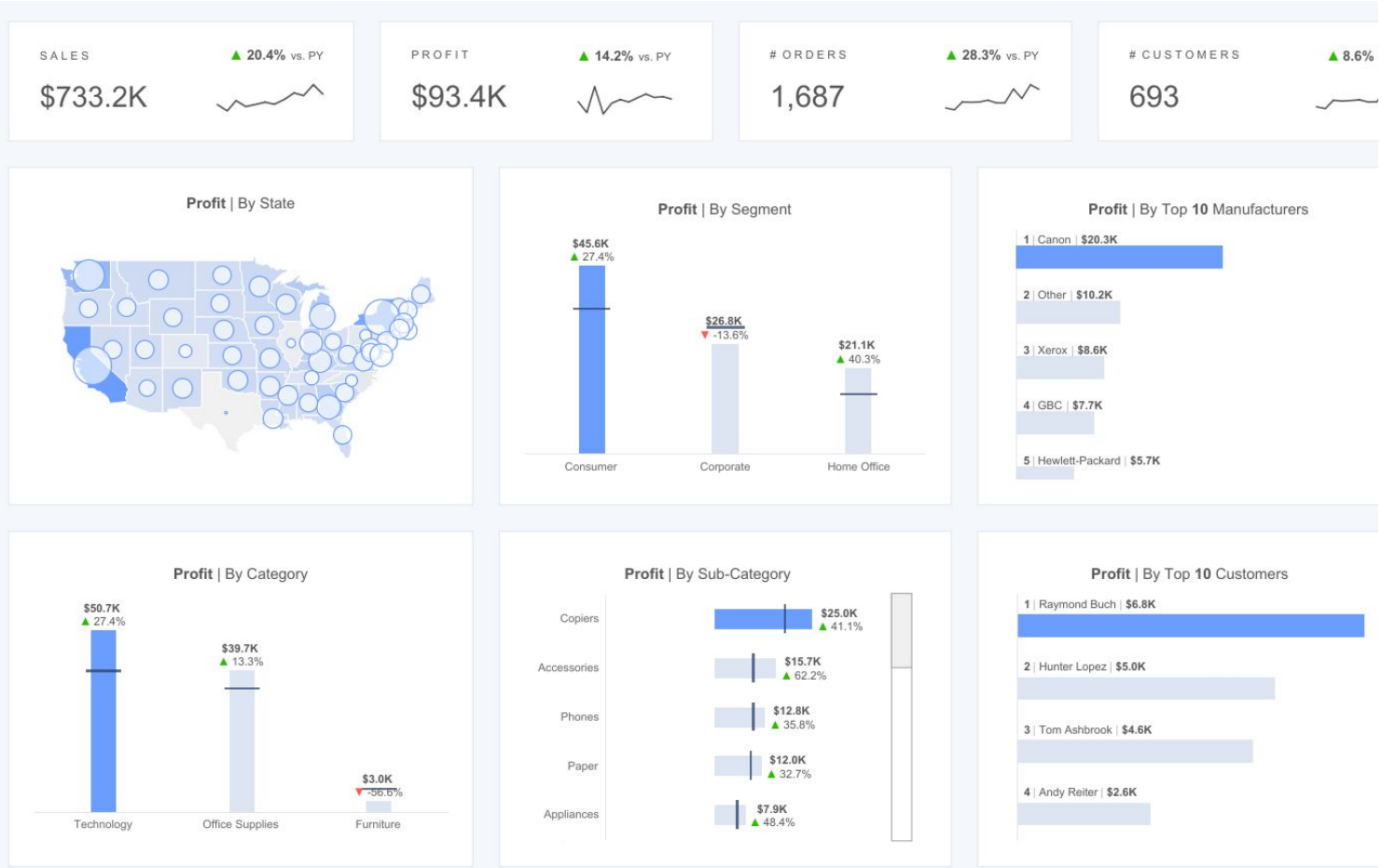
Diagnosing Profit Decline Amid Sales Growth: A Strategic Analysis for RevoShion

Prepared by:
Auky Susanto
30 October 2025
RevoU FSDA batch OCT25

Dashboard



Source: https://public.tableau.com/shared/YWQXNJS7G?:display_count=n&:origin=viz_share_link

Disclaimer:

- This analysis is based on a publicly available dataset and does not reflect real-world financial or business insights.
- Revoshion is a fictional entity, and the results presented here are purely for educational purposes."

Stakeholders

D	Decider	Head of Corporate Strategy
A	Accountable	Head of Data Analyst
R	Responsible	Data Analyst
C	Consulted	Sales Operations Team, Fulfillment Team, Pricing Analyst
I	Informed	Senior Management, Finance Team, Marketing Team

Business Problem

Context

Profit in corporate segment declined by 13.6% despite of sales increase in that segment and total sales increased by 20.4%.

Business Problem

How to increase the profit in corporate segment from -13.6% to 15% within 12 months?

Objective

To find the right method to increase the profit in corporate segment from -13.6% to 15% within 12 months?

Root Cause Analysis

Corporate segment profit declined by 13.6% despite sales growth

- Revenue
  - Dominated by low-margin products
  - Aggressive discount for corporate clients
- Cost
  - Higher return rate or warranty claims
  - Higher fulfillment cost
  - Complex handling for corporate orders
  - Inefficient delivery channels
  - Manual processing for B2B orders
  - Custom invoicing or support needs

Hypothesis - High Priority

(High Impact - Many data point)

Priority	Root Cause	Hypothesis	Metrics
01	Dominated by low-margin products	If corporate segment sales are dominated by low-margin products, then overall profit contribution from this segment will remain low despite sales growth.	Margin % by SKU, % of low-margin SKUs in corporate orders
02	Aggressive discount for corporate clients	If corporate clients receive aggressive discounts, then the average profit per order will decrease significantly.	Avg. discount % by segment, # of orders with >30% discount
03	Higher fulfillment cost	If fulfillment cost per unit in the corporate segment is higher than other segments, then profit margin will be negatively impacted.	Avg. fulfillment cost/order, packaging cost, SLA compliance cost

Hypothesis - Medium Priority

(Medium Impact - Many data point)

Priority	Root Cause	Hypothesis	Metrics
04	Complex handling for corporate orders	If corporate orders require complex handling (e.g., split shipments, multi-location delivery), then operational cost per order will increase.	Avg. handling time/order, # of split shipments, # of delivery locations per order
05	Higher return rate or warranty claims	If return and warranty claim rates are higher in corporate orders, then net profit will decrease due to refund and replacement costs.	Return rate %, warranty claim %, refund cost
06	Manual processing for B2B orders	If B2B orders are processed manually, then operational overhead will increase and reduce overall efficiency.	# of manually processed orders, avg. processing time/order, # of staff involved

Hypothesis - Low Priority

(Low Impact - Limited data point)

Priority	Root Cause	Hypothesis	Metrics
07	Inefficient delivery channels	If delivery channels used for corporate clients are less efficient, then delivery cost per order will be higher and reduce profitability.	Avg. delivery time, delivery cost/order, % of delayed shipments
08	Custom invoicing or support needs	If corporate clients frequently request custom invoicing or support, then support-related costs will increase and reduce net profit.	# of custom invoice requests, avg. support time/order, # of support tickets per client

Summary

Problems	Key Insights	Recommendation
How to increase the profit in corporate segment from -13.6% to 15% within 12 months?	1. Corporate segment sales are dominated by low-margin products, thus overall profit contribution will remain low despite sales growth.	1. **Revise product mix strategy** to promote higher-margin SKUs in corporate orders
	2. Corporate clients receive aggressive discounts, thus the average profit per order will remain low despite sales growth	2. **Implement discount tiering** based on margin contribution and order volume
	3. Fulfillment cost per unit in the corporate segment is higher than other segments, thus overall profit contribution will remain low despite sales growth.	3. **Optimize fulfillment process** (bulk packaging, SLA rationalization) to reduce cost

Recommendation

Category	Business Impact	Isolation	Prioritization	Recommendation
Product mix optimization	Sales are dominated by low margin product category. It drags overall profitability.	Product category & sub-category level.	High. Quick improvement by shifting product focus.	1. Push promotion on high margin product category. 2. Limit promotion on low margin product category. 3. Bundling low margin product category with high margin product category.
Pricing strategy	Aggressive discount for corporate clients drags overall profitability.	Pricing structure & discount policy for corporate client	High. Quick improvement by remodelling pricing structure.	1. Reassess discount policy 2. Tiered pricing / discount cap 3. Minimum margin threshold per category / sub-category 4. Deals with discount above policy or margin below threshold requires executive approval.
Fulfillment process optimization	High fulfillment costs, multi location orders, manual order handling and costly SLA drags overall profitability.	Logistics & fulfillment.	High. Requires operational changes but yields significant margin recovery	1. Remodel and standardize SLA for corporate client 2. Enhance efficency for multi-location or high-volume bulky orders 3. Automate fulfillment workflows for corporate client 4. Reevaluate logistics partners and renegotiate shipping rates